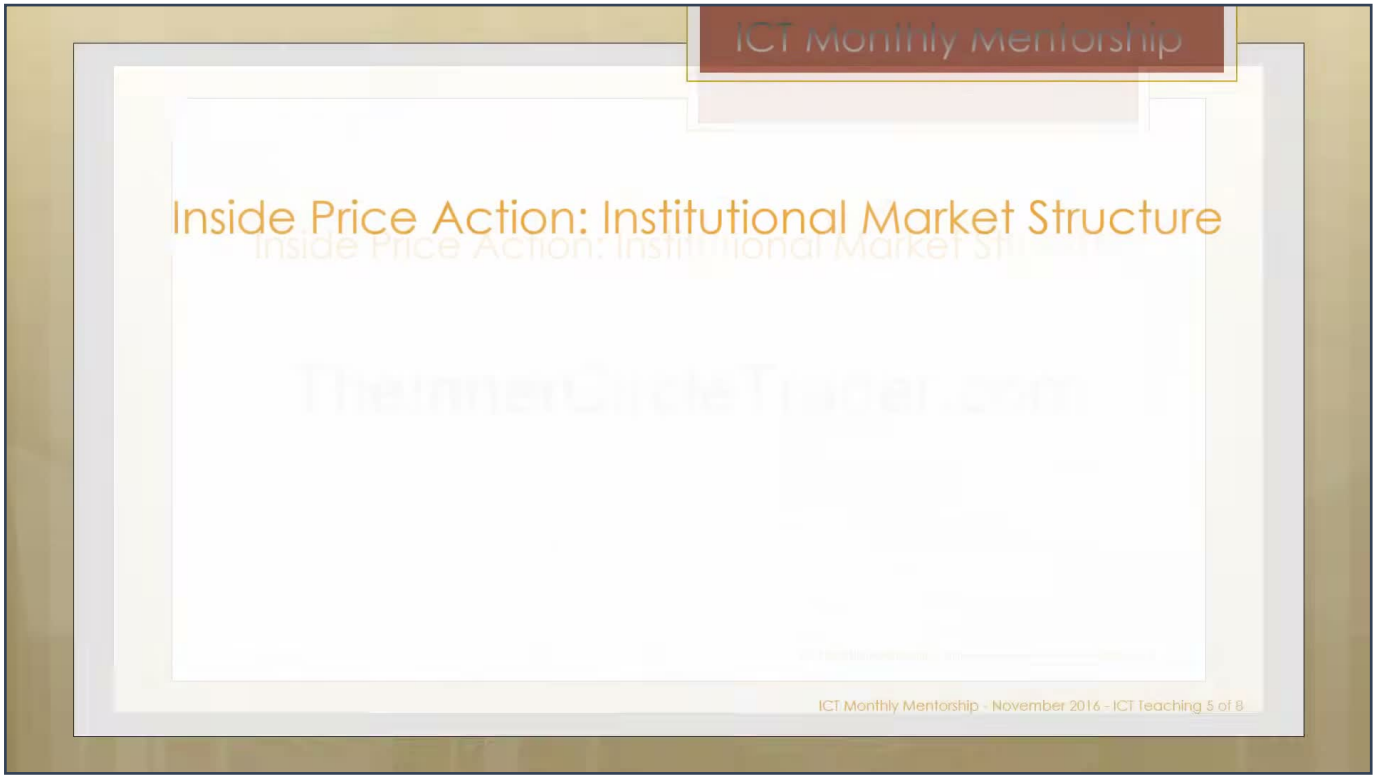
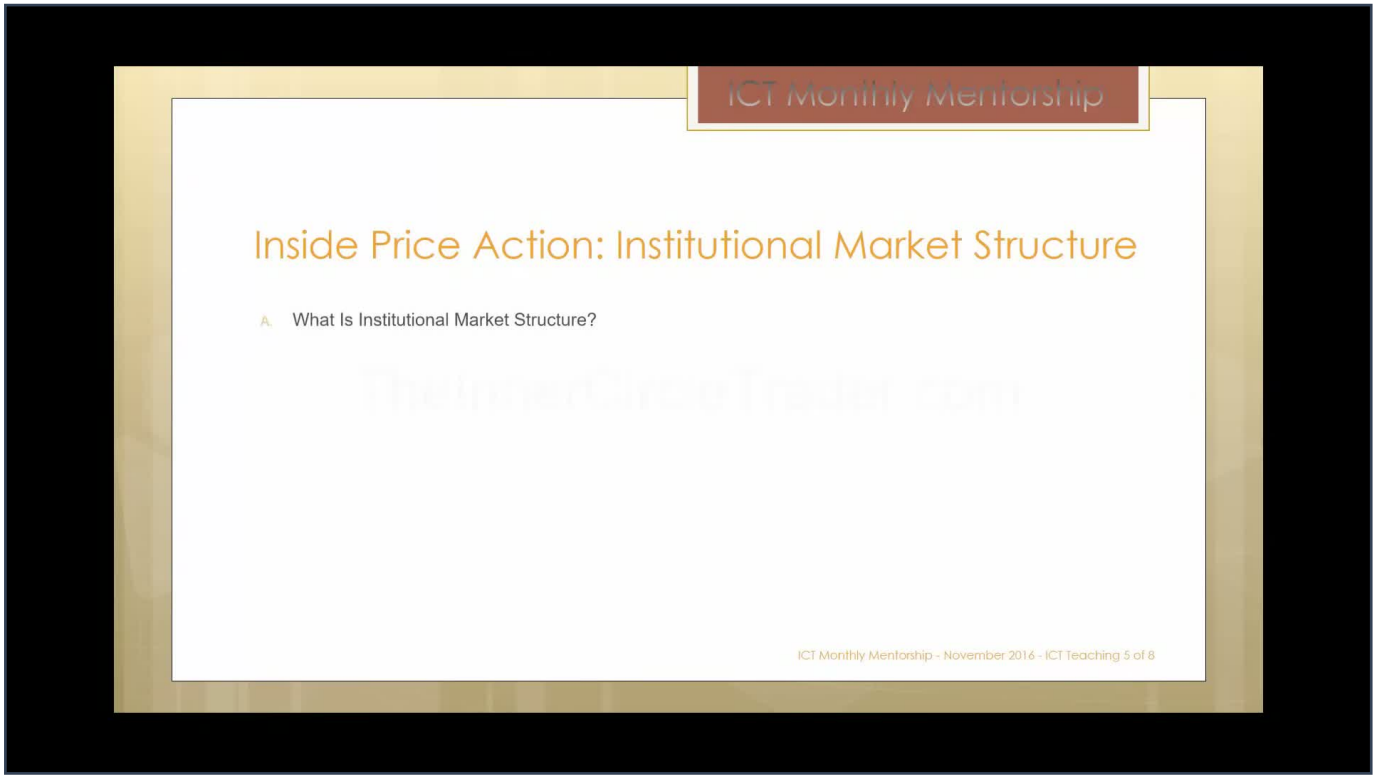
ICT MENTORSHIP CORE CONTENT

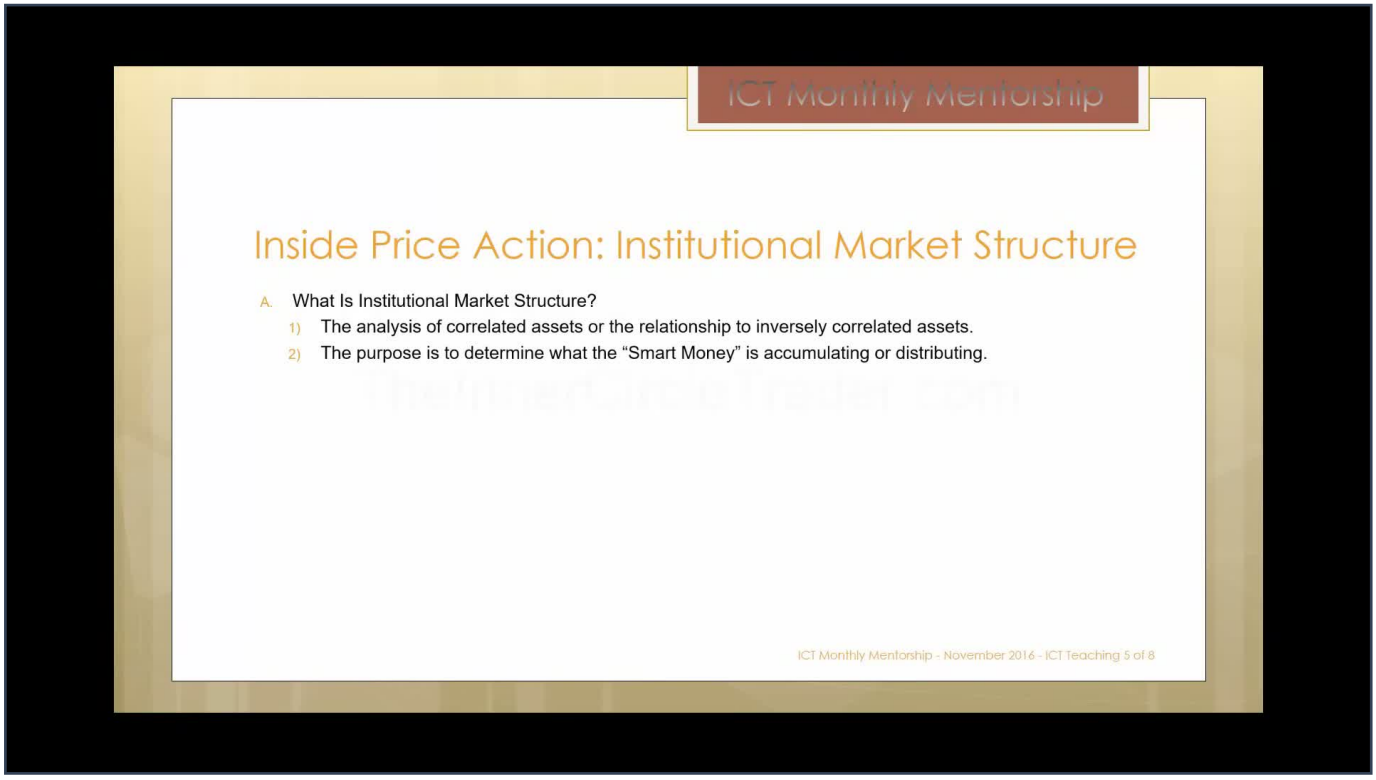
ICT MENTORSHIP CORE CONTENT - MONTH 03 - INSTITUTIONAL MARKET STRUCTURE



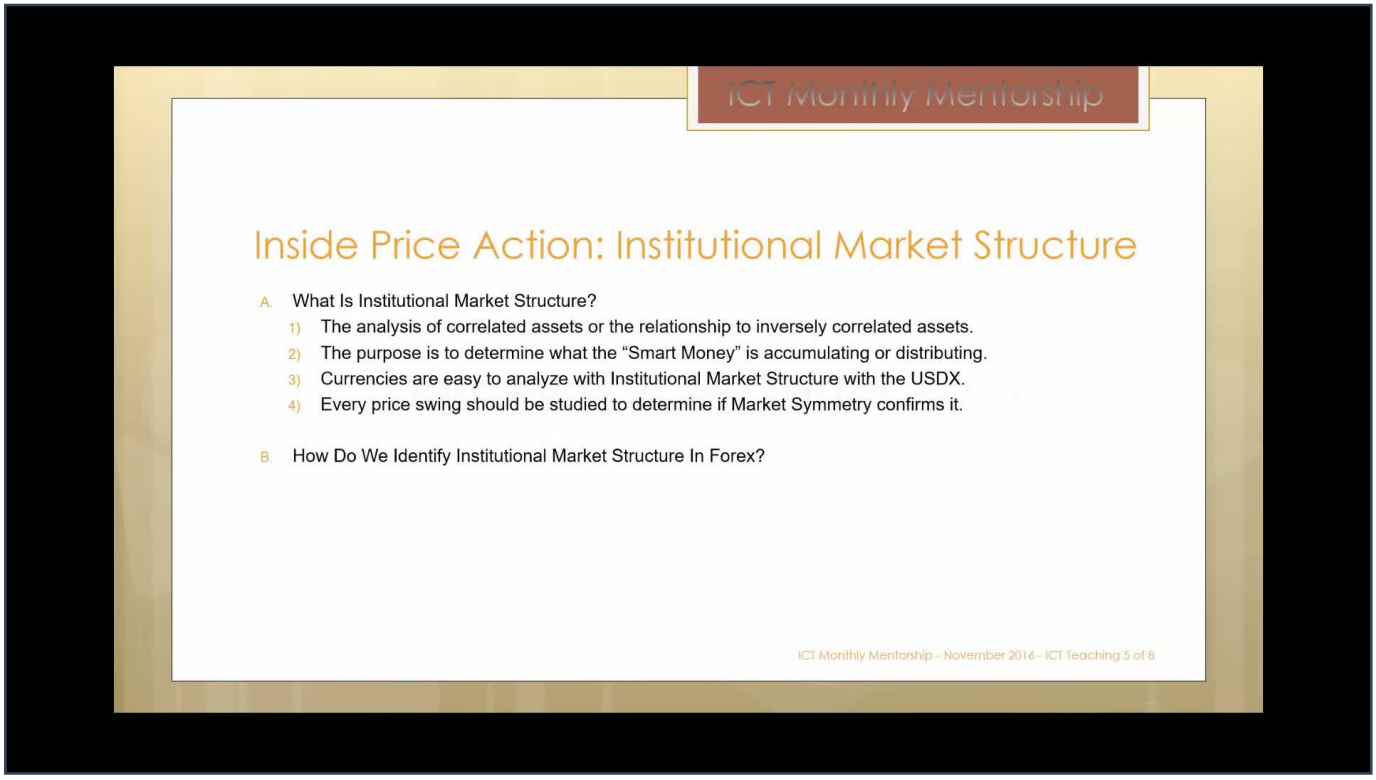
Welcome to the fifth of eight teachings for November 2016 ICT Mentorship, focusing on 'Inside Price Action - Institutional Market Structure'.



Institutional Market Structure is the analysis of correlated assets with a relationship to inversely correlated assets.



The purpose is to determine what the smart money is accumulating or distributing. Currencies are the easiest to analyze with Institutional Market Structure, and we utilize the Dollar Index. Every price swing should be studied to determine if market symmetry confirms it.



To identify Institutional Market Structure in Forex, we compare every price swing in the Dollar Index with the foreign currency that we trade.

SYMMETRICAL PRICE SWINGS: USDX HIGHER

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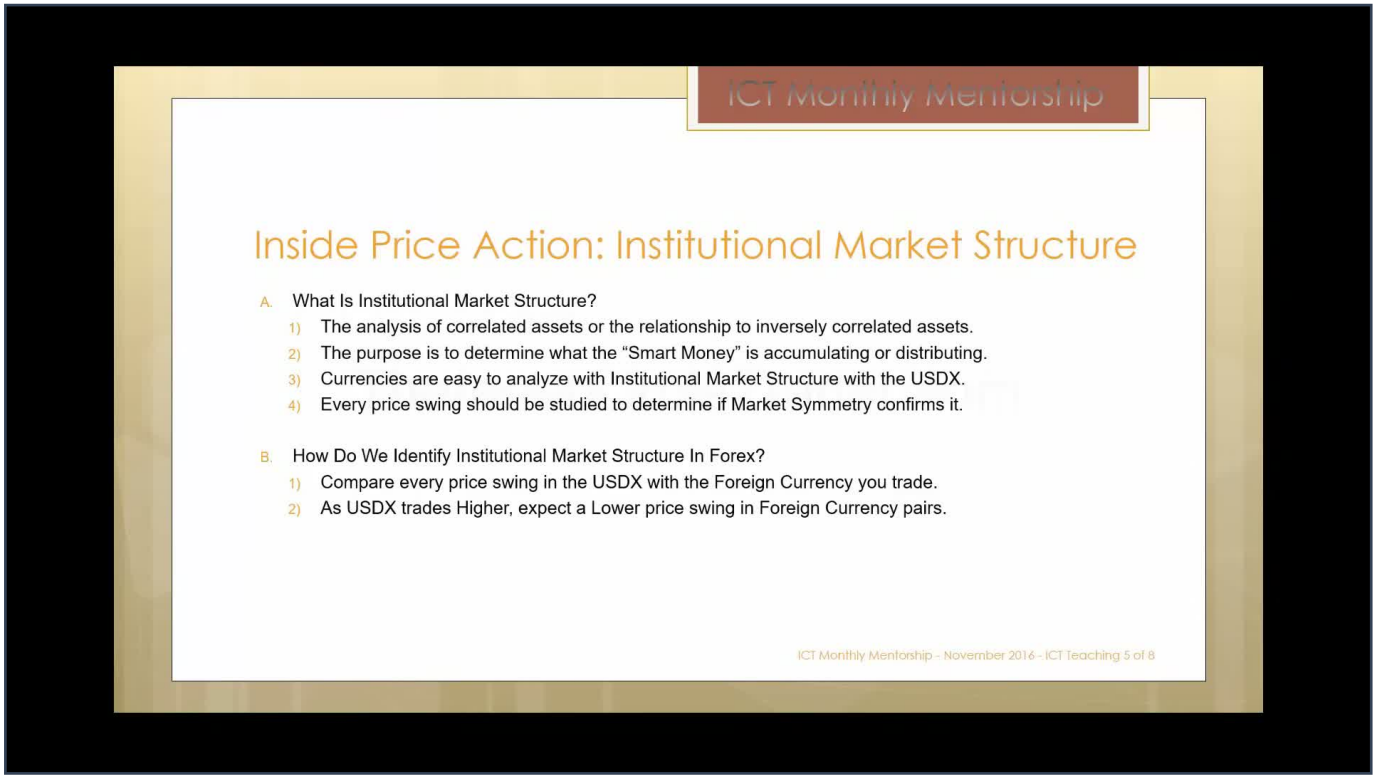

As the US Dollar Index trades higher, we reasonably expect a lower price swing in foreign currency pairs.

SYMMETRICAL PRICE SWINGS: USDX LOWER

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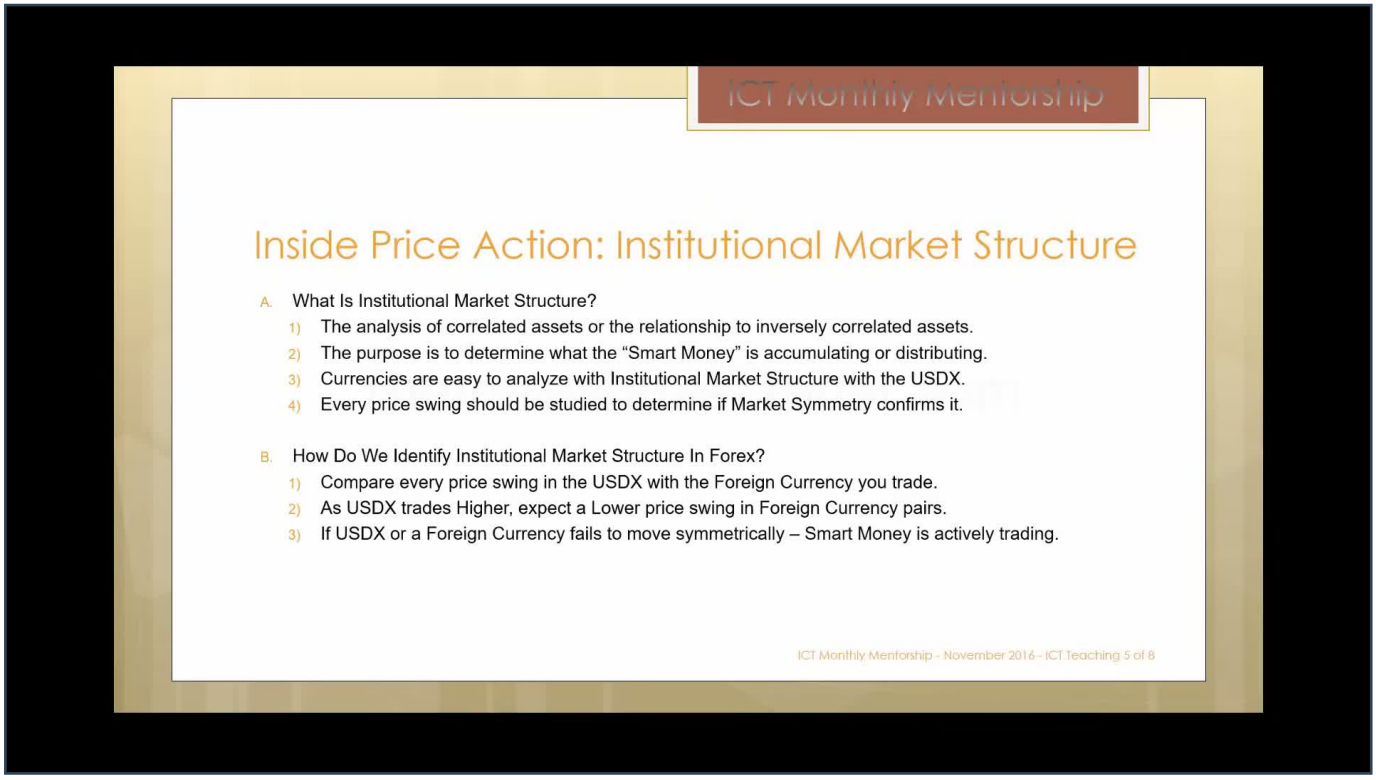
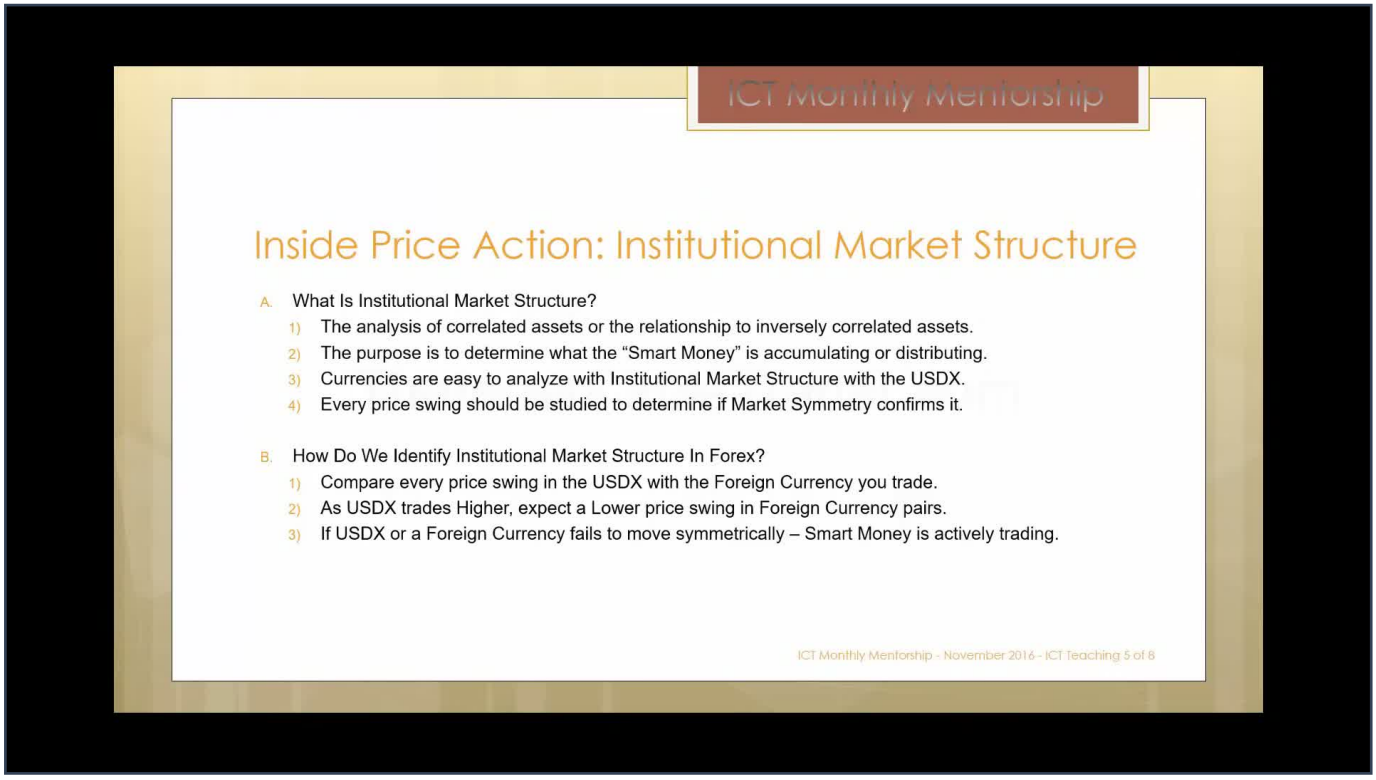


As the US Dollar Index trades lower, we reasonably expect a higher price swing in foreign currency pairs.



If the US Dollar Index or a foreign currency pair fails to move symmetrically, smart money is actively trading.

US DOLLAR INDEX SMT DIVERGENCE

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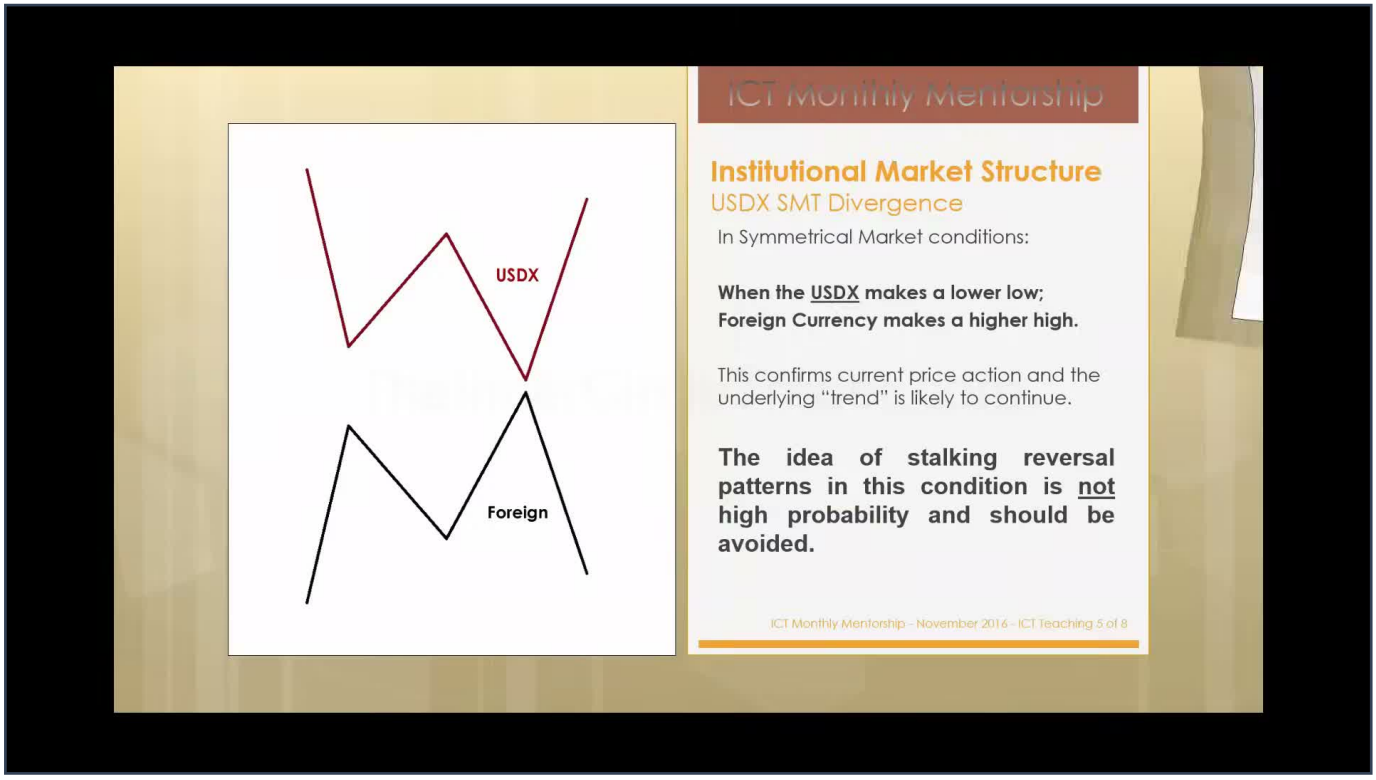

This concept refers to the US Dollar Index SMT Divergence. SMT stands for Smart Money Tool or Smart Money Technique. We look for a divergence between closely correlated or inversely correlated assets.

EXPECTED SYMMETRICAL BEHAVIOR

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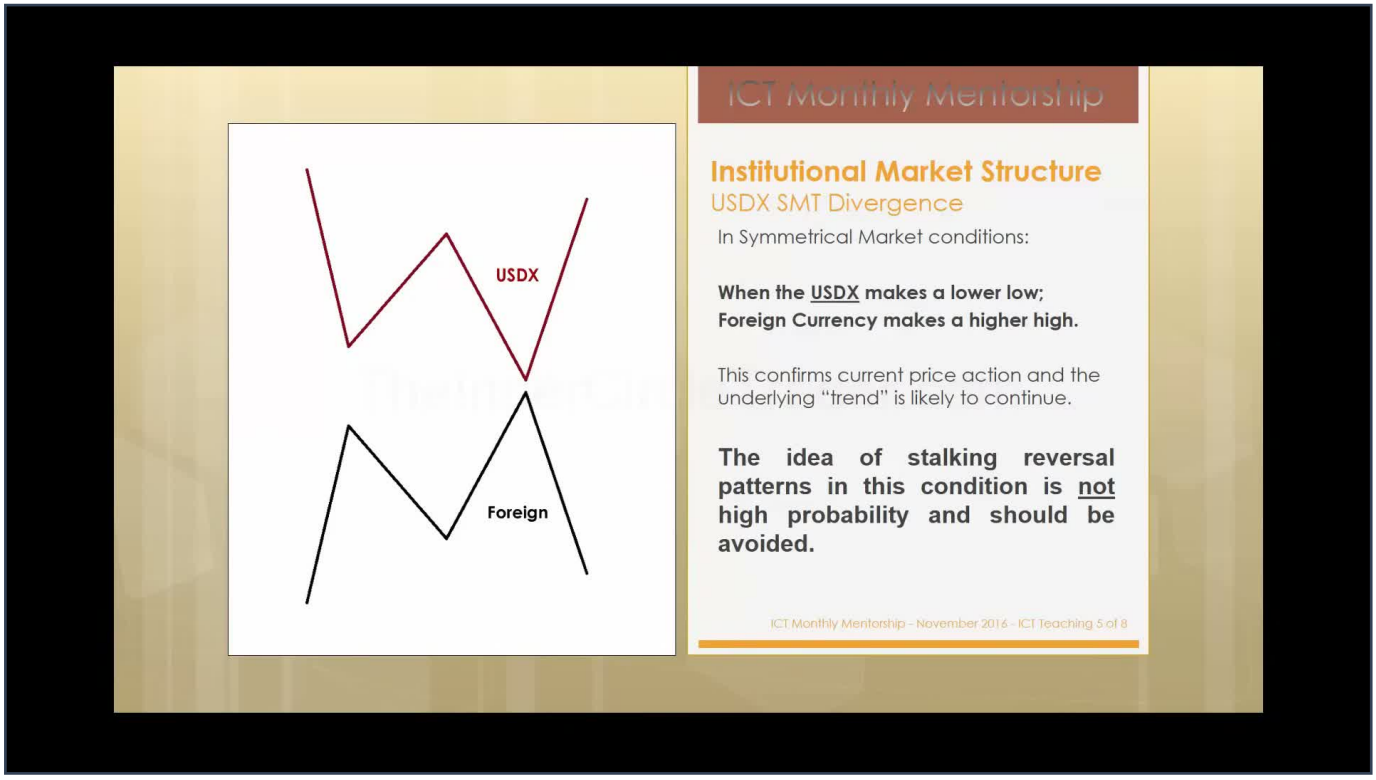

- If the Dollar Index trades higher, it puts downward pressure on foreign currencies.

- If the Dollar Index trades lower, it allows foreign currencies to rally.

SYMMETRICAL MARKET CONDITION: LOWER LOW IN USDX

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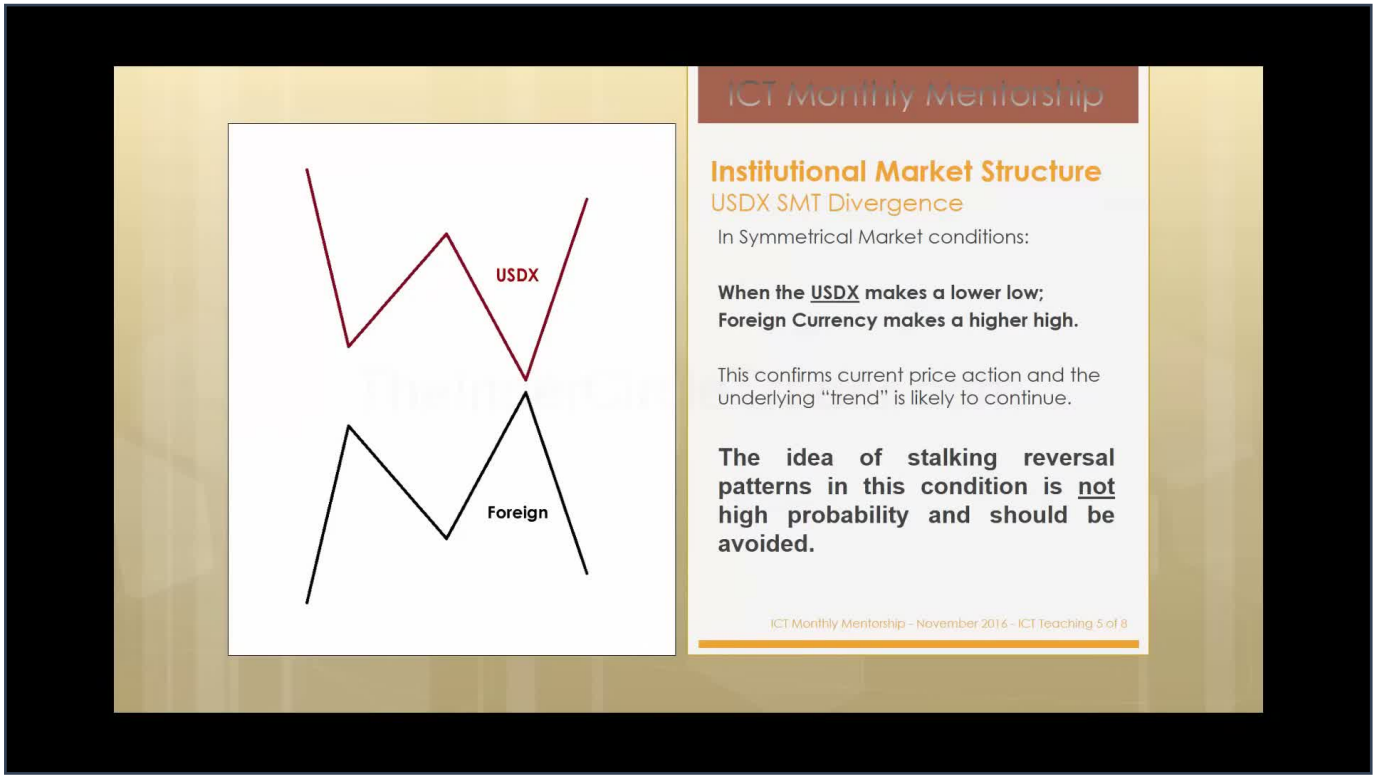
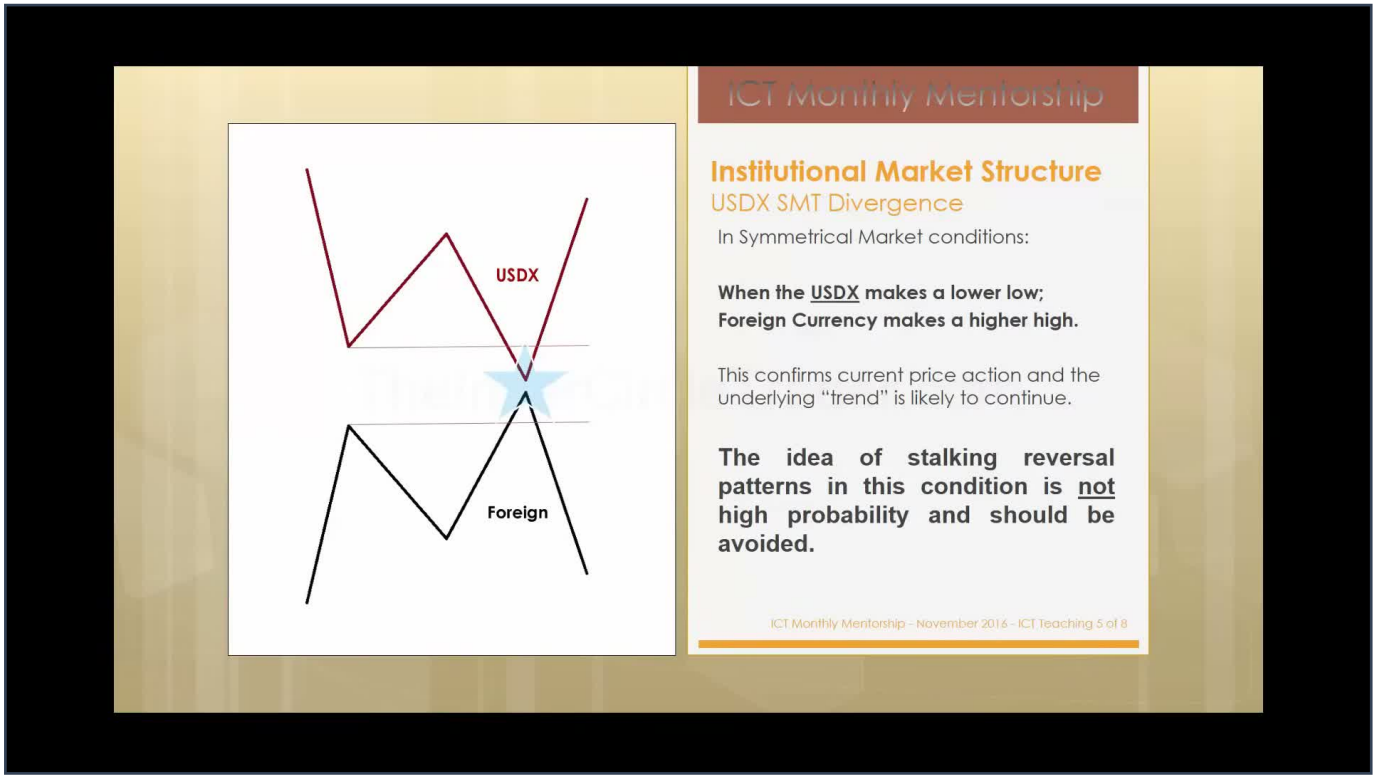


In a symmetrical market condition, when the Dollar Index makes a lower low, we expect foreign currencies to make a higher high. When we see this, it confirms current price action, and the underlying trend is likely to continue.



The idea of stalking reversal patterns in this symmetrical condition is not highly probable and should be avoided altogether. For instance, if the Dollar Index violates an old low, and foreign currency makes a higher high, it confirms the down move in the Dollar Index. Even if the Dollar Index trades back above a short-term high, it's often just a run on buy stops before resuming lower.

SYMMETRICAL MARKET: FOREIGN CURRENCY HIGHER HIGH

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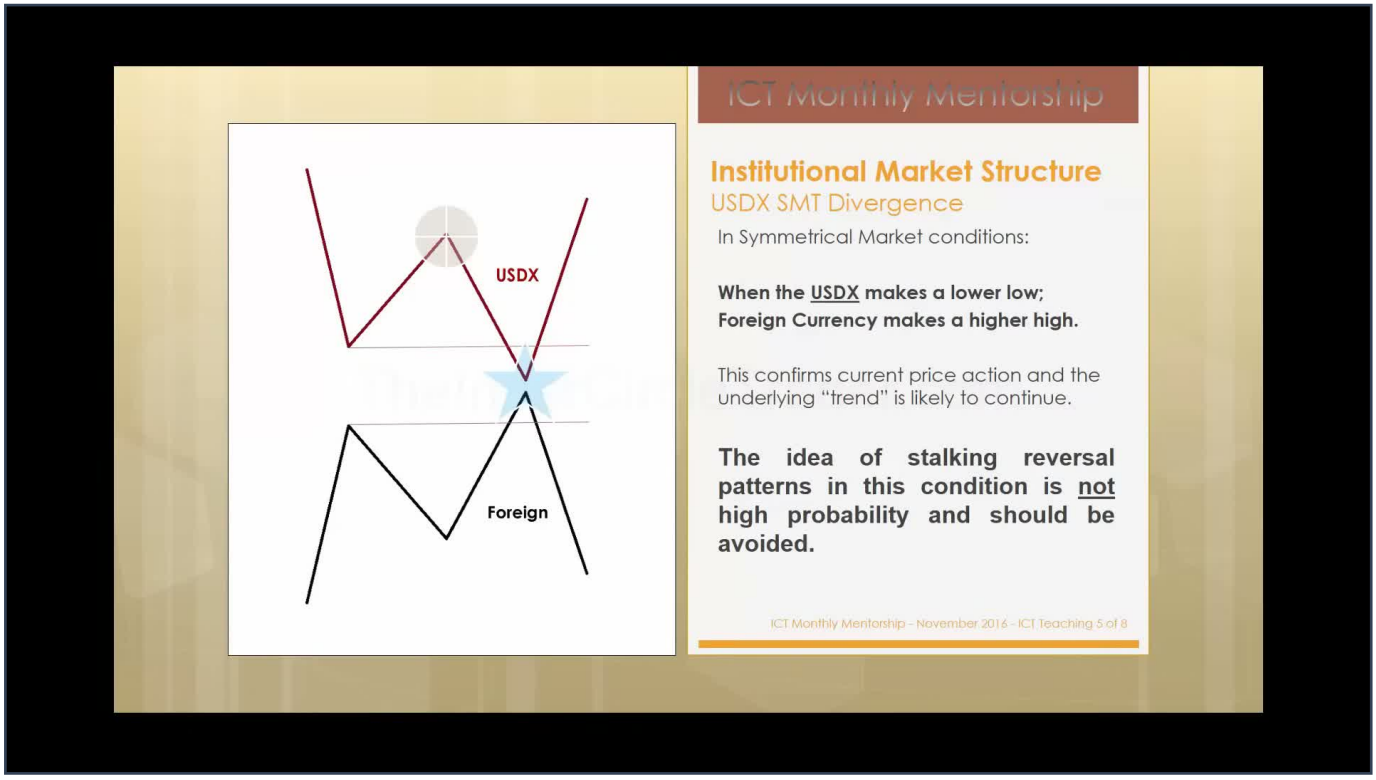

The same is true for foreign currencies. If we see a higher high while the Dollar Index makes a lower low, price is confirmed. This means the underlying direction is still intact. Any movement down in foreign currency pairs below a swing low or short-term low is them gathering sell stops below the marketplace to accumulate new long positions, after which foreign currency pairs will be allowed to trade higher and make a new higher high.

SYMMETRICAL MARKET CONDITION: HIGHER HIGH IN USDX

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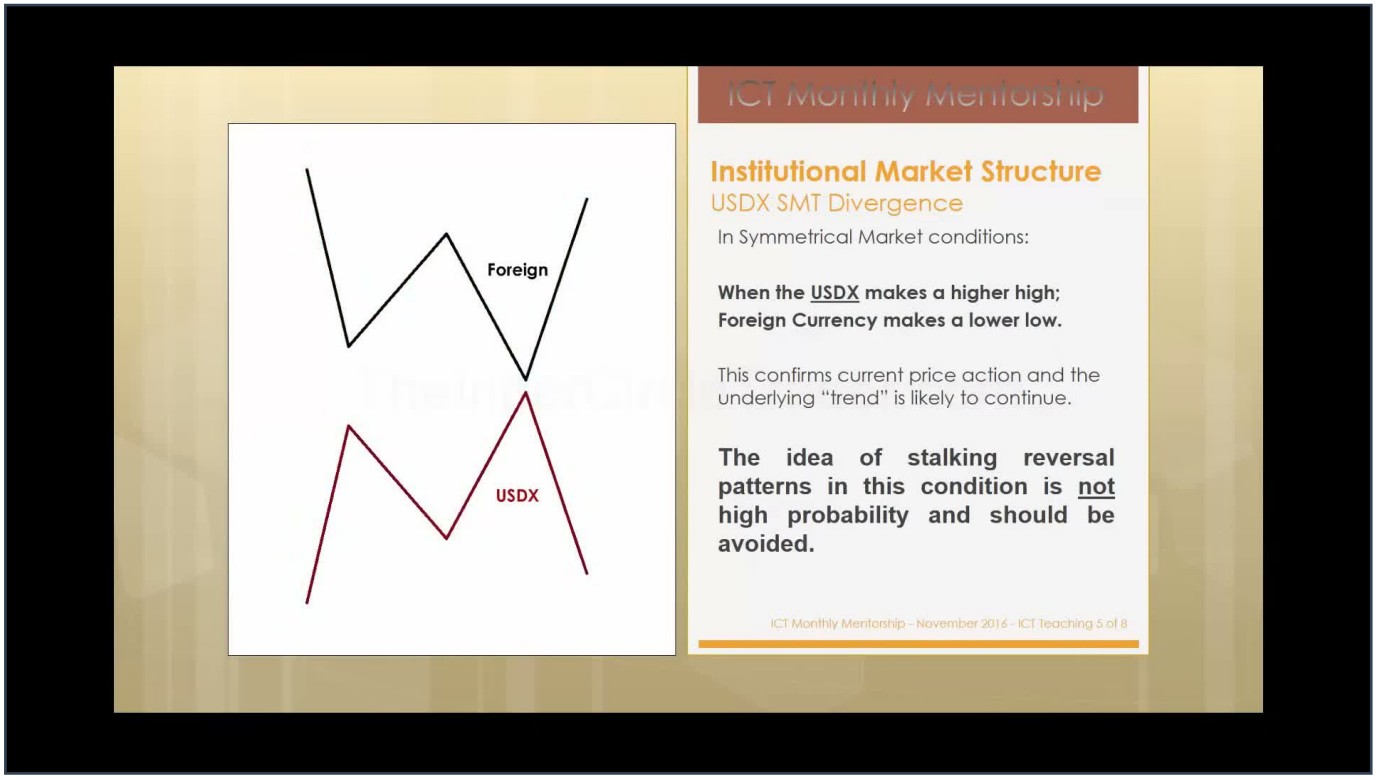

When the Dollar Index makes a higher high, and the foreign currency makes a lower low, this also confirms current price action, and the underlying trend is likely to continue. Again, stalking reversal patterns in this condition is not high probability and should be avoided.

IMPLICATIONS OF SYMMETRICAL HIGHER HIGH/LOWER LOW

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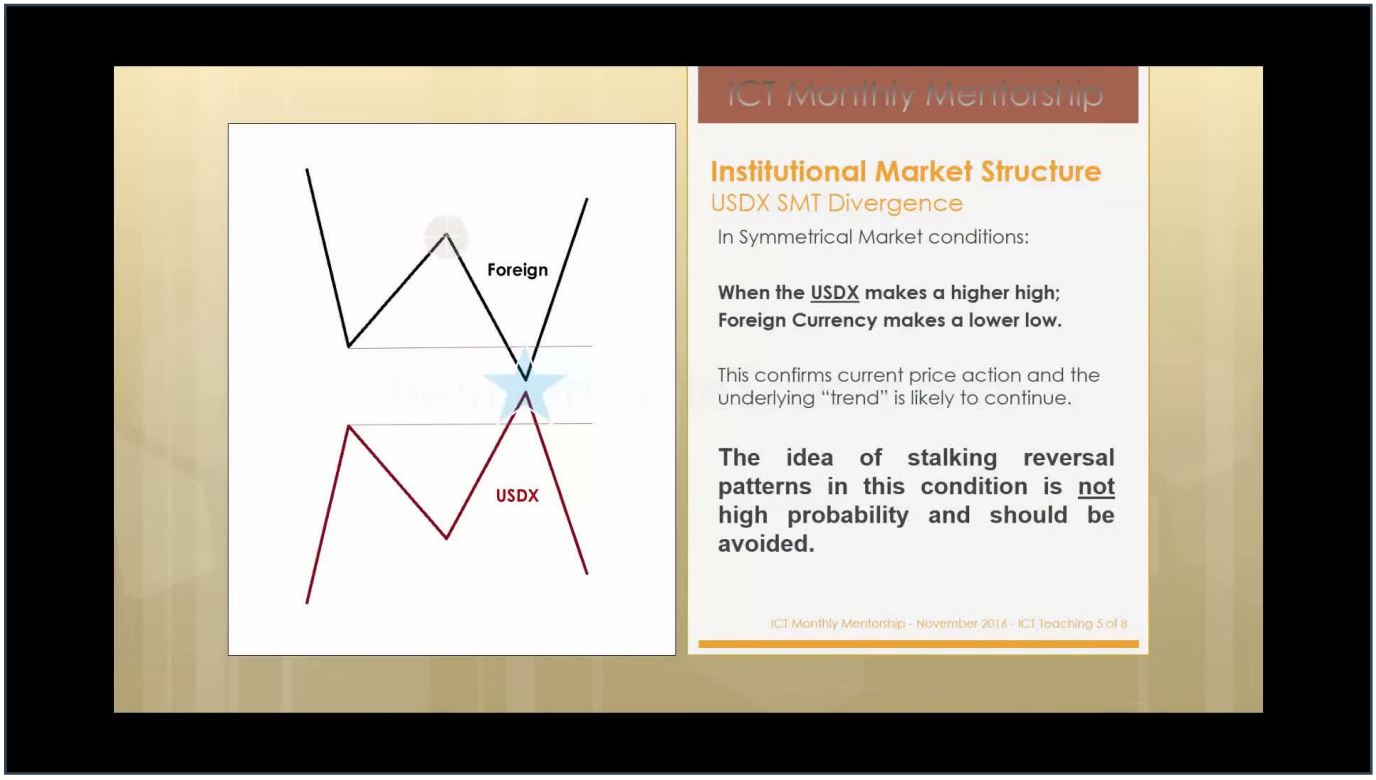
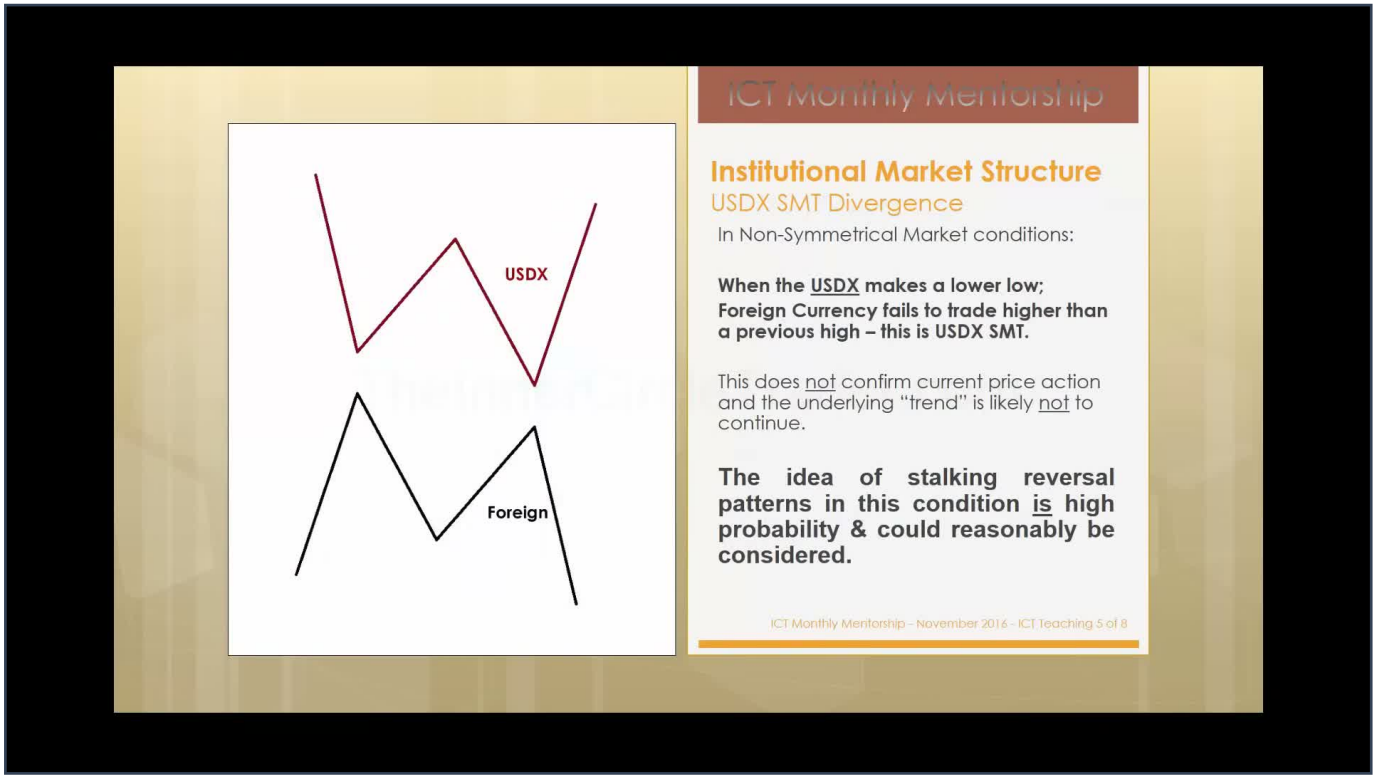


Once the Dollar Index makes a higher high and the foreign currency makes a lower low, any run above the short-term high in foreign currencies is many times going to be a run on buy stops in the marketplace, followed by another sell-off making a lower low. The same is said for the Dollar Index: when the market trades back below that short-term low, it's going to gather up sell stops to pair new buying with, and then it'll most likely trade higher and make a new higher high.

NON-SYMMETRICAL MARKET CONDITIONS: USDX SMT DIVERGENCE (LOWER LOW)



In non-symmetrical market conditions, when the Dollar Index makes a lower low, but the foreign currency fails to trade higher than a previous high, this is a US Dollar Index SMT (USDX SMT) divergence. This does not confirm current price action, and the underlying trend is likely not to continue. However, the idea of stalking reversal patterns in this condition is high probability and could reasonably be considered.

INTERPRETING USDX SMT DIVERGENCE (LOWER LOW)

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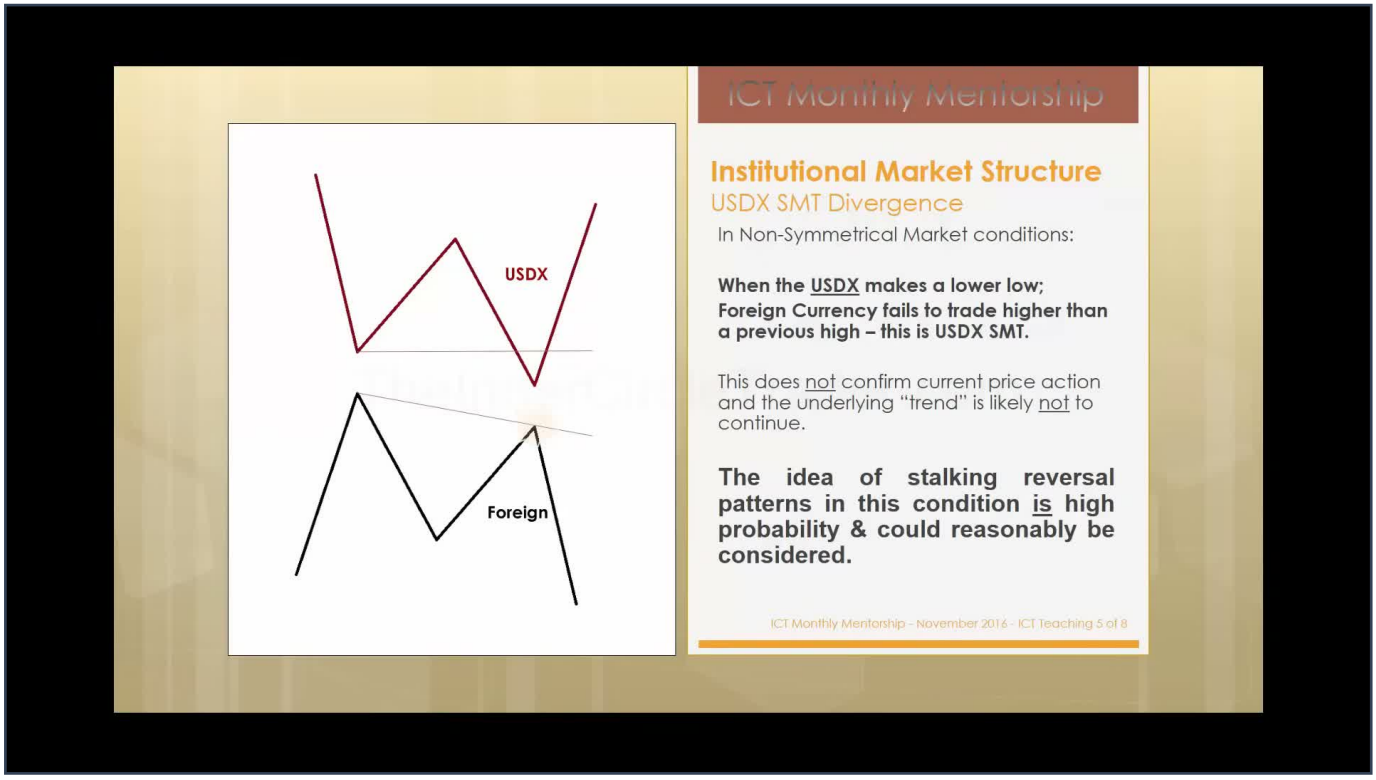
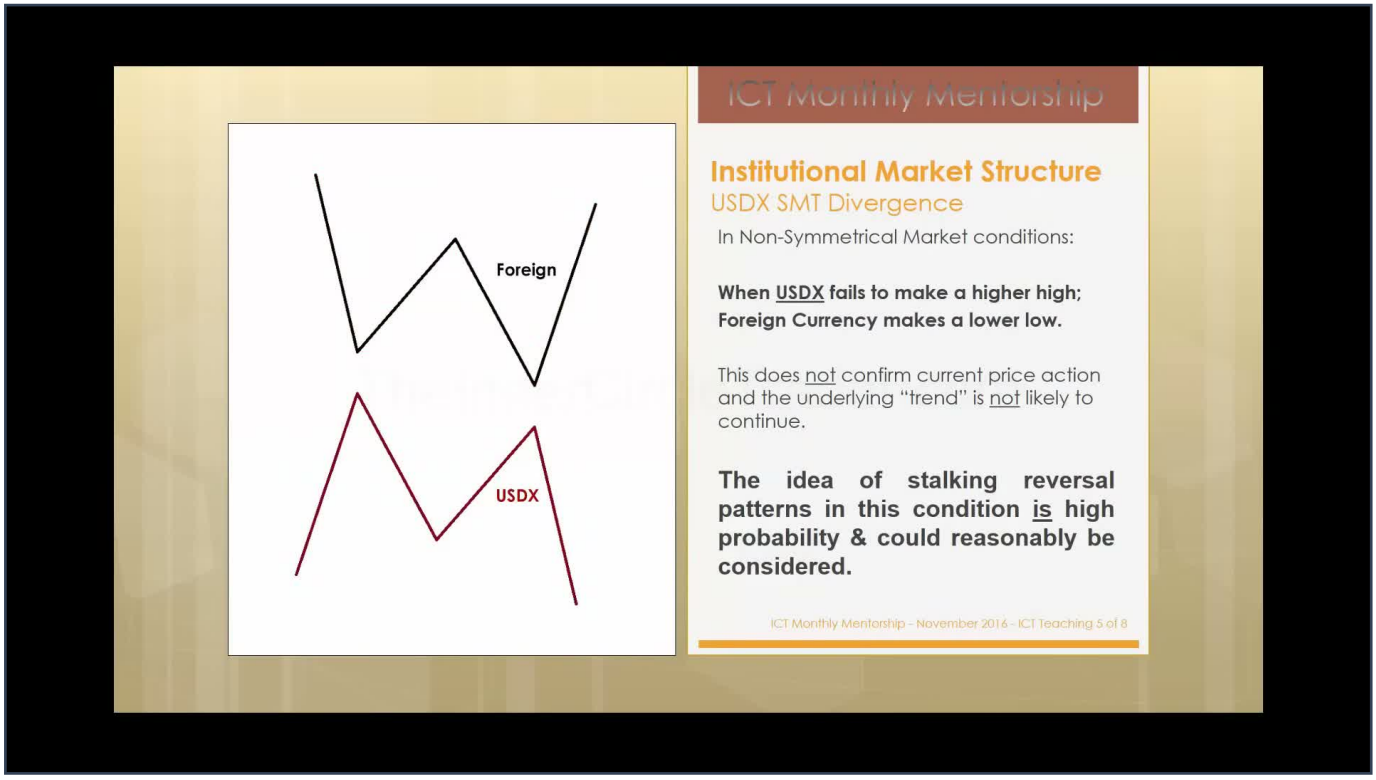


That lower low on foreign currencies indicates that the Dollar Index is most likely going down below a previous low to wipe out the sell stops, accumulate new buying, and a rally should ensue in the Dollar. If the Dollar is going to rally, that means there will be downward pressure in foreign currencies, and it has already shown itself in the form of weakness by having a failure swing in the foreign currency, making a lower high.

NON-SYMMETRICAL MARKET CONDITIONS: USDX FAILURE TO MAKE HIGHER HIGH



When the Dollar Index fails to make a higher high while foreign currencies make a lower low, this is similar to the previous slide but illustrated in a different context. This shows the Dollar Index failing to make a higher high, meaning there's underlying weakness. A lower low seen in foreign currency pairs means they are going down below a previous low to accumulate all the sell stops on foreign currency pairs. Then they'll rally the market higher.

IMPLICATIONS OF USDX FAILURE TO MAKE HIGHER HIGH

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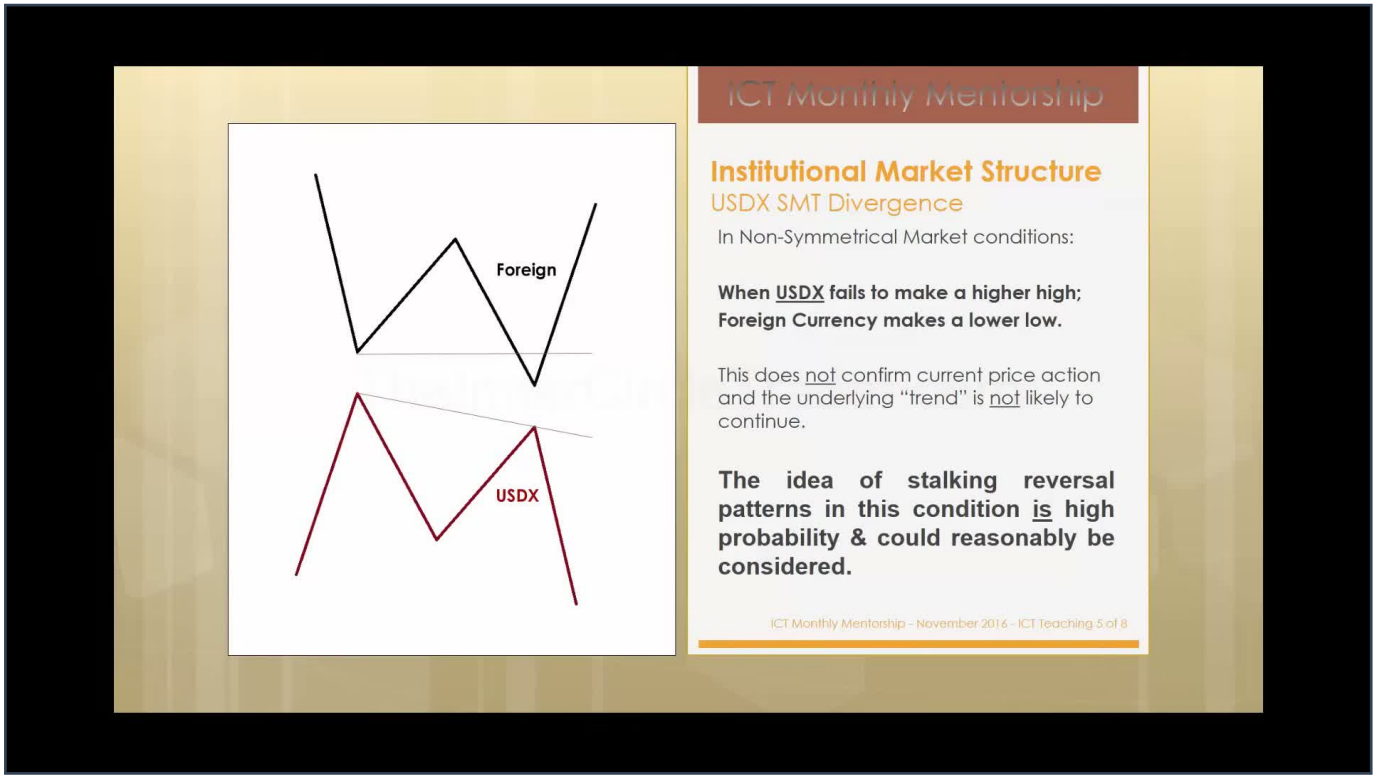

The Dollar Index will sell off, which would support foreign currency long positions. The underlying weakness indicated by the US Dollar Index making a lower high fuels those market moves. The idea of stalking reversal patterns in this condition is high probability and could reasonably be considered.

CASE STUDY: BRITISH POUND USD - INITIAL OBSERVATION

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Let's look at a case study in price using a daily chart of the British Pound USD (Cable). Notice the highs: a higher high formed in Pound-Dollar around the end of April going into mid-June of 2016.

COMPARING CABLE'S HIGHER HIGH WITH DOLLAR INDEX

TIMESTAMP: 00:07:51

In the same timeframe, the Dollar Index made a low in the April period going into mid-June. Looking at the Pound-Dollar, we have a higher high forming in the middle part of June 2016. By itself, when it was rallying, it probably looked very positive and bullish to everyone.

If there was a symmetrical market condition, the Dollar Index should have seen a lower low. Do we see a lower low form in the Dollar Index? No. This is a USDX SMT Bullish Divergence. This means we are seeing underlying strength in the Dollar Index.

Even though this looks bullish on the British Pound, it's really just taking the buy stops above the 4760 level. Once those stops are run out, the market does in fact tank. The underlying strength in the Dollar Index allows us to look at the 93.80 to 94 big figure. This down candle in the Dollar Index may become a future bullish order block that we could trade at.

Once this void is closed, we know there's underlying strength in the Dollar Index because there was an unwillingness to see that lower low form as we saw the higher high form in Cable. That higher high piercing an old high is a run on stops above the 4760 level. It trades almost up to 5065, which is several hundred pips on a daily chart, but nonetheless, we're looking for institutional market structure.

By all indications, when the market was rallying up, retail traders and less informed traders would see that as a bullish breakout. But it's not seen with the Dollar Index having a lower low. So, we see the higher low formed on the Dollar Index that should have created a lower low as the Cable made a higher high, and it didn't.

What is that actually giving us? It's giving us a great insight about what is being accumulated. The Dollar Index is being accumulated on the long side; otherwise, it would have been permitted to go lower. If we see that, and we can see a foreign currency pair shooting higher, acting on its own accord, it's not by accident, it's absolutely a manipulation.

If we understand where the manipulation is taking place in the marketplace, then we can capitalize on that. Now we can focus primarily on being bullish Dollar because the Dollar was unwilling to make a lower low. The only reason that can happen is if it's being bought aggressively; otherwise, they would wait for lower prices. So, since they're unwilling to wait for lower prices in mid-June 2016, we have to focus primarily on being a buyer on Dollar and put sell signals or a bearish stance on all foreign currencies, looking to be a seller. This is why all through the second part of 2016, I've been a Dollar bull.

CASE STUDY 2: BRITISH POUND USD - AUGUST/SEPTEMBER 2016

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Let's look at another example using the daily chart again to build the idea that you don't have to be a day trader, but these ideas help us have a long-term to intermediate-term perspective on the marketplace. We'll turn our attention to the latter portion of August 2016 to the first week of September. You can see that the Cable made a higher high.

CABLE'S BULLISH APPEARANCE VS. DOLLAR INDEX REALITY

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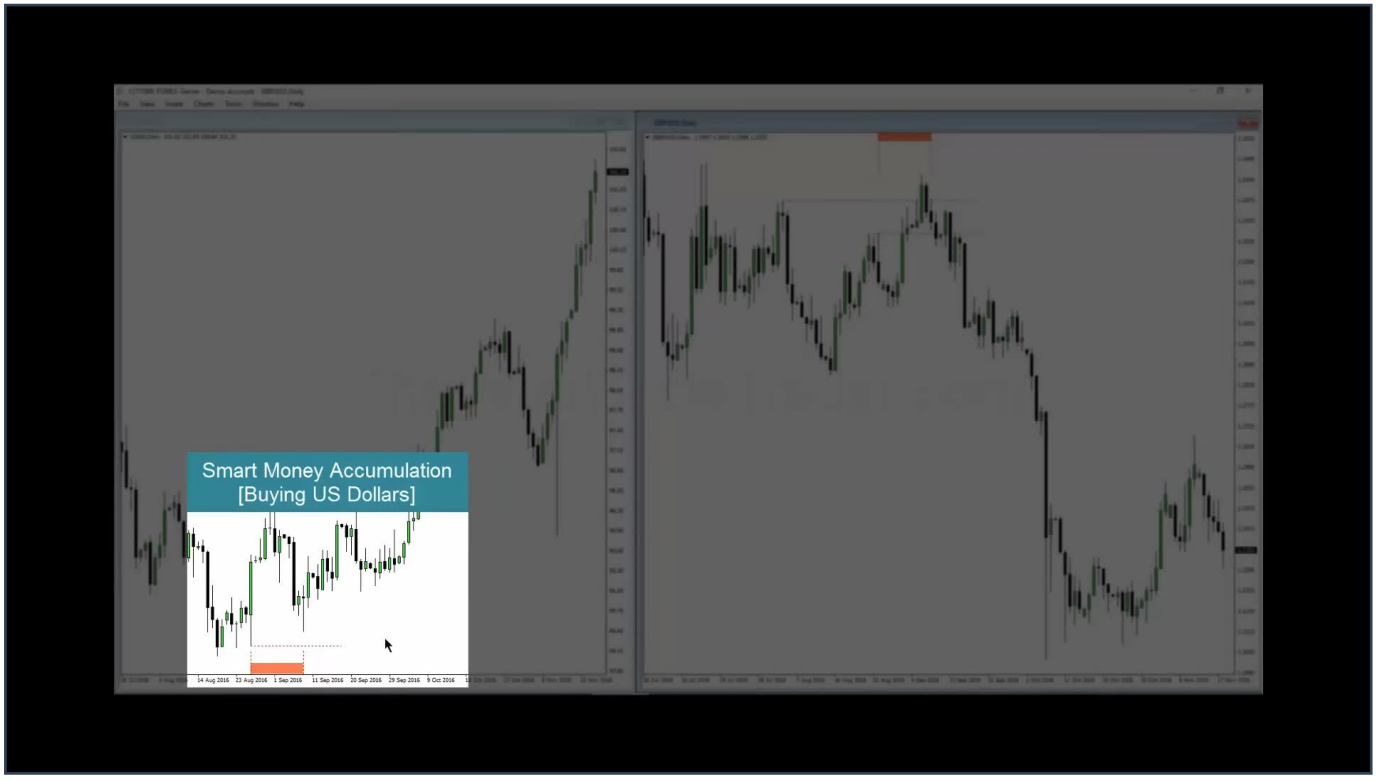
All indications here looked very bullish; price was running through an old high. At the same time, this low on the Dollar Index did not see another lower low. So as the Cable was pressing higher, rallying, this Dollar Index should have seen a lower low, but it did not.

DISTRIBUTION IN CABLE, ACCUMULATION IN DOLLAR

TIMESTAMP: 00:12:35

What that indicates is again, Dollar-based strength. In other words, the Dollar Index is being accumulated on the long side. The Cable is being distributed. It's being distributed above an old high and above another old high.

Now we can frame another level for a 'turtle soup' or a false break above a high to run what type of stops? Buy stops. Why would they want to take the market to a buy stop? Because they want that buy stop to execute at the market to buy at the market. They're going to sell their long positions they accumulated earlier at a higher price to willing buyers up here. This is being distributed at an old high while the accumulation is seen in strength because the Dollar can't go lower.



Think, if the Dollar doesn't go lower, it's because it can't go lower due to pricing; it's being kept while the premium is being built into the Pound-Dollar. So retail chases this run, this false breakout, while smart money looks at failure swings and the lows.

AVOIDING 'RETAIL CANDY LAND' - DOUBLE CHECKING WITH USDX

TIMESTAMP: 00:13:56

When you see what would otherwise look like strength and breakouts on the upside in foreign currencies, always double-check them with the Dollar Index. If you don't see that, then you know that the false breakout on the upside in the foreign currency market is all 'sucker play,' that's 'retail candy land.' Everyone's going to be looking to go long on those false breakouts in foreign currencies, while the smart money is focused on the Dollar having an unwillingness to go lower like it does here.

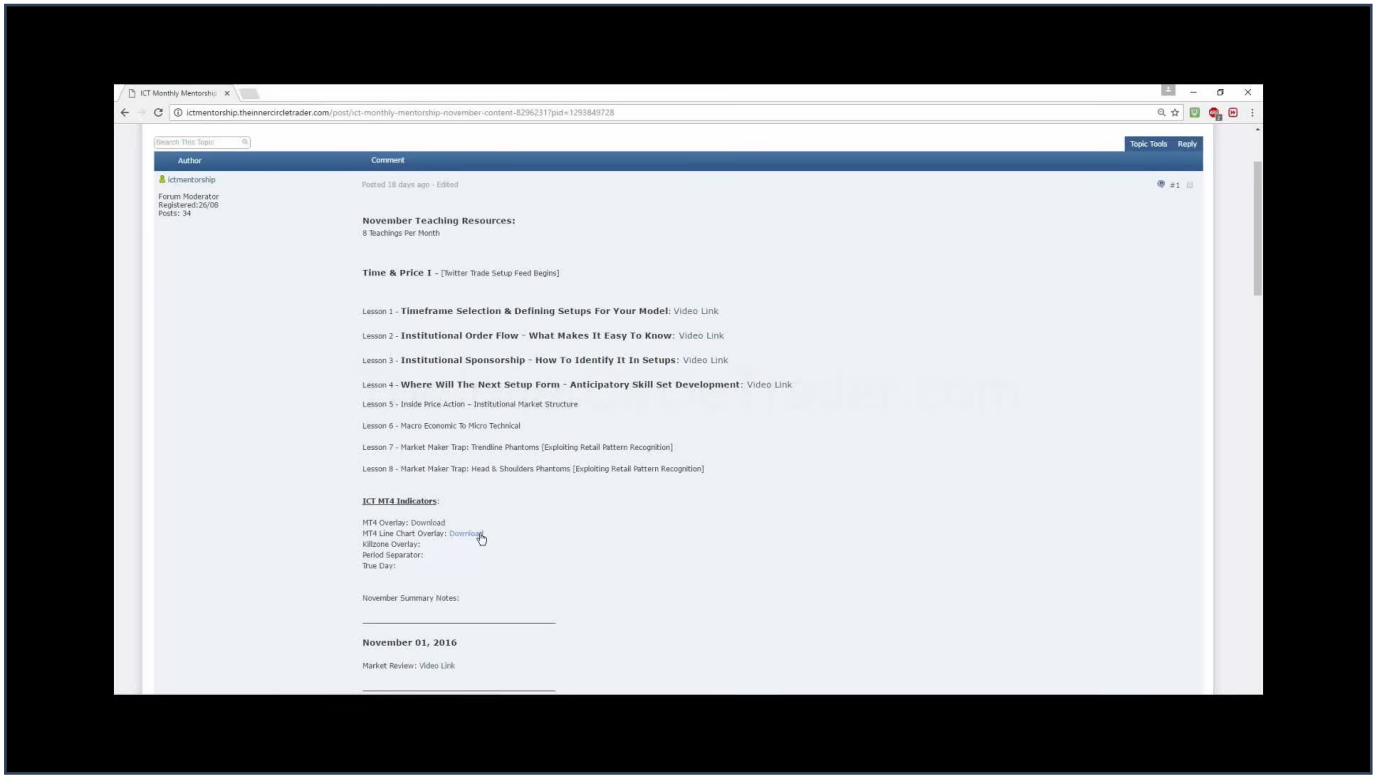
This low, framed by specific dates, shows how strong it is in terms of giving us a long-term to intermediate-term perspective on what direction the market is going. Again, this is a daily chart, so if they're going to keep price at a higher price low here and not blow out the previous low, we see the unwillingness to hold these prices in British Pound USD. They quickly drop it lower because it's been distributed; they left the retail holding the bag.

When accumulated long positions start moving higher, every time there's a retracement, we expect to see another expansion on the upside. So when we look at price like this, we can see it graphically using the price chart, but I also use a tool as an overlay for the MT4 platform.

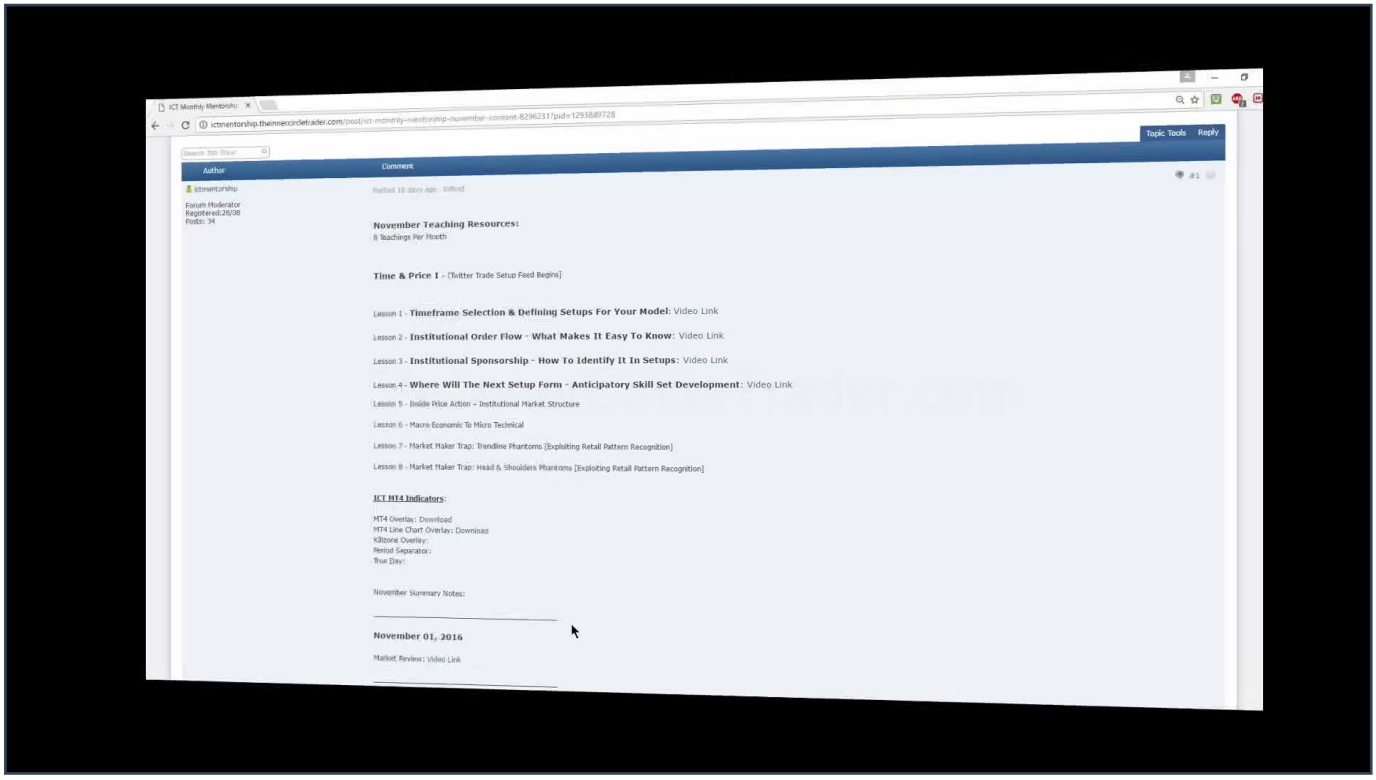
ACCESSING AND DOWNLOADING THE MT4 INDICATOR

TIMESTAMP: 00:15:28

We are at the ICT Monthly Mentorship forum, in the November content thread. I gave you several MT4 indicators today. We're going to show you how to install this on MT4. Click on the link 'MT4 Line Chart Overlay'. Clicking on that will give you a download prompt. Click on that, then click on 'Open'.



While you have MT4 open, this will open up your editor. If you've already downloaded it, you might be asked to overwrite it. Once it's overwritten, save it as a Unicode overlay, confirm to replace it, and close the editor. Restart your MT4 platform.



Once MT4 restarts, go to 'Insert', then 'Indicators', then 'Custom', and scroll down to 'Overlay Chart Line'. Click on that. Where you see 'double x's', double-click on that. You're going to change that to whatever pair or the Dollar Index you want to use. First, highlight a specific chart, for example, the British Pound USD chart by clicking anywhere on it. Then go back to 'Insert', 'Indicators', 'Custom', 'Overlay Chart Line', double-click. We're going to be overlaying the US Dollar Index, so type 'USDE' in capital letters. Leave everything else as it is.

You can see that the British Pound made that higher high, while at the same time, the Dollar Index was failing to make that lower low. You can remove the grid lines to make the chart cleaner and crisper. For a white background, change the grid color to white, then close. This makes it very clean and easy to see.

You can do all your notations for your log when you're done with your trades or as you're doing your analysis. So, while we're seeing higher highs here in the British Pound, the Dollar Index is making that higher low. It should have been a lower low there, but it has not shown that confirmation. So we see that as a 'turtle soup' or a false breakout above an old high, and an old high here. We can look for that to be distributed; we do not see that as strength. And then obviously, the market trades softer.

WEIGHING UNDERLYING STRENGTH FOR TRADING CONTEXT

TIMESTAMP: 00:19:17

When we look at identifying Institutional Market Structure, what we're basically doing is weighing the underlying strength of the buying and the selling at respective highs and lows in the Dollar Index versus foreign currencies. If you pick one particular currency pair and identify areas like this, expressing a daily chart, it gives you a long-term perspective where you can be focused primarily on being short that currency.

- If you are a short-term trader, you could be looking to sell short at every 60-minute or 4-hour bearish order block.

- You could be a day trader selling it above the opening price, above the midnight candle in New York, and just capture all those types of moves going lower. It gives you an ideal context to work within and gives you a framework.

It doesn't give you ambiguity; it gives you a very specific frame of mindset going in. Knowing that if this is a daily chart and we're seeing underlying strength in the Dollar, and we're seeing potential distribution in British Pound USD, most likely we're going to see lower prices on Cable. So that way, we can be a buyer on Dollar-based currencies or a seller on foreign currencies that are paired up with the Dollar Index. Hopefully, you found this insightful, and until the next time, I wish you good luck and good trading.